

Johnson & Johnson

2Q Takeaways: Numbers Moving Higher with Pharma Offsetting Slower Start for Medtech

Exiting JNJ's 2Q results, our view on JNJ remains largely unchanged. Results were modestly better than expected with favorability in Innovative Medicines partially offset by MedTech (and specifically cardio). Icotyde is off to a strong start with over 10K patients initiating therapy thus far, and payer coverage is starting to ramp while Tremfya again is trending ahead of our expectations in UC/CD. We anticipate these strong immunology trends will continue with Icotyde becoming a more relevant sales growth driver in 2027. Balanced against this, we will watch to see how quickly JNJ can return Abiomed back to healthy growth as a decrease in the use of the Impella heart pumps will weigh on 2H performance.

More broadly on the story, JNJ remains one of the cleaner names in the group as the company moves beyond the Stelara LOE with healthy growth in its core portfolio. We see JNJ as capable of generating sustained top-tier growth with an Innovative Medicines segment growing at a HSD rate through 2030 and a MedTech portfolio that continues to pivot toward higher-growth verticals. At the same time, this favorable fundamental setup appears better reflected in valuation (~22x 2026E EPS) following JNJ's strong performance over the past year. Remain Neutral.

- **Icotyde off to a strong start in psoriasis.** JNJ noted strong early demand through the patient hub (over 10K patients have initiated therapy since launch, up from ~1.5K last qtr). The company is also progressing well on reimbursement with now ~50% commercial coverage, trending ahead of the company's internal expectations. More broadly, JNJ anticipates Icotyde becoming one of the company's largest products over time, complementing Tremfya as a first choice systemic treatment. We forecast the product generating peak sales of \$10bn+ as Icotyde expands the PsO market while primarily taking share from other orals (best in class oral) and then establishes a strong position in IBD late in the decade/2030s.
- **Within Medtech, cardio grew slower than expected, and JNJ has tempered its expectations for 2H26.** While JNJ continues to anticipate growth to accelerate in 2H26, this appears more measured given the headwinds facing the Abiomed business (~5% of Medtech sales, declined -2% YoY in the qtr). This slowdown was primarily due to lower use of the Impella heart pump following the results of an independent UK clinical trial. The company believes this will be a near-term headwind and expects the business to recover late in 2026/heading into 2027. Growth in the EP business also slowed due to competitive dynamics and where unfavorable inventory dynamics in China reduced growth by ~400bps. Separately, while some hospital administrators have pointed to slowing procedure volumes, JNJ has not seen any meaningful change in trends within its business.
- More broadly, JNJ remains focused on accelerating from mid-single-digit to high-single-digit growth over time. Its robotics platforms will be key programs to watch looking to the latter part of the decade as JNJ further pivots its MedTech business to higher growth verticals. And on the Orthopedics segment, the business remains on track for a mid-2027 separation (and the

Neutral

JNJ, JNJ US
Price (14 Jul 26): \$253.85

Pharmaceuticals — Major & Specialty

Chris Schott, CFA ^{AC}
(1-212) 622-5676
christopher.t.schott@jpmorgan.com

Hardik Parikh, CFA
(1-212) 622-2875
hardik.k.parikh@jpmorgan.com

Ethan Brown
(1-212) 622-4928
ethan.brown@jpmchase.com

Taylor Hanley
(1-212) 622-0790
taylor.hanley@jpmchase.com

Ekaterina V Knyazkova, CFA
(1-212) 622-9576
ekaterina.v.knyazkova@jpmchase.com
J.P. Morgan Securities LLC

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company is evaluating all separation options).

- **2026 guidance modestly raised on strength in the Innovative Medicines segment, offsetting incremental headwinds in MedTech.** JNJ now expects reported sales of \$100.8-101.4bn, an increase of \$300mm at the midpoint. The increase is largely driven by launch momentum in the Innovative Medicines segment (grew operationally +14% YoY excluding Stelara) including Tremfya (in IBD), Icotyde, and Inlexo. This is partially offset by headwinds in the MedTech business as discussed above.

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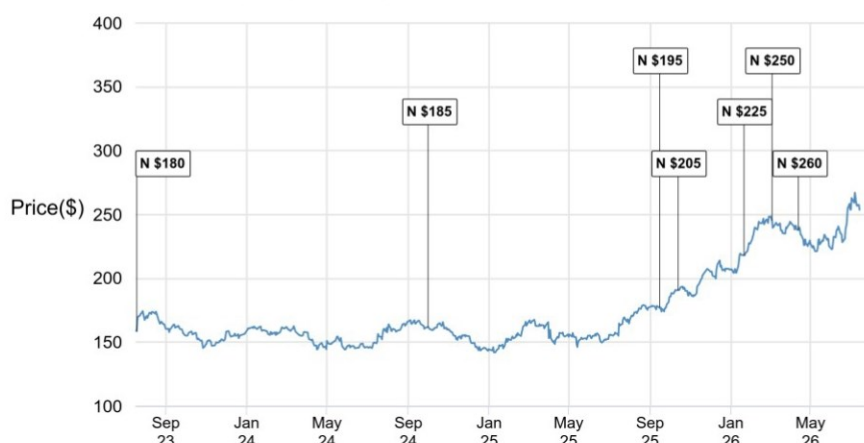
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Johnson & Johnson (JNJ, JNJ US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
20-Jul-23	N	158.74	180
02-Oct-24	N	161.99	185
16-Sep-25	N	177.40	195
14-Oct-25	N	190.90	205
21-Jan-26	N	218.21	225
05-Mar-26	N	245.30	250
14-Apr-26	N	237.96	260

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 01, 1999. All share prices are as of market close on the previous business day.

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